PAPER 3: TAXATION

SECTION A: INCOME TAX LAW

STATUTORY UPDATE FOR MAY 2026 EXAMINATION

*The **July 2025 edition** of the Study Material, based on the provisions of the Income-tax Act, 1961, as amended by the **Finance Act, 2025** and significant notifications/circulars issued upto 15th July 2025 are relevant for May 2026 examination. The relevant assessment year for May 2026 examination is **A.Y.2026-27**. The following **significant notifications/circulars issued and legislative amendments made upto 31st October, 2025**, but not covered in the July 2025 edition of the Study Material, are also relevant for May 2026:*

Chapter No.	Chapter Name	Details of Notifications/Circulars
3	Unit 1: Salaries	Salary limit prescribed for specified class of employees and Gross Total Income Limit prescribed for treating medical expenditure as an exempt perquisite [Notification No. 133/2025 dated 18.8.2025]
6.	Deductions from Gross Total Income	Introduction of Unified Pension Scheme in line with NPS [The Taxation Law (Amendment) Act, 2025]
8.	Provisions for filing Return of Income and Self Assessment	Relief to deductors/collectors from the applicability of higher TDS/TCS where the PAN becomes operative upon linkage with Aadhaar within the specified period [Circular No. 9/2025 dated 21.7.2025]

The above notifications and circulars are discussed hereunder:

Chapter 3 - Unit 1: Salaries

Salary limit prescribed for specified class of employees and Gross Total Income Limit prescribed for treating medical expenditure as an exempt perquisite [Notification No. 133/2025 dated 18.8.2025]

Specified class of employees:

The term "perquisite" is defined under section 17(2). As per section 17(2)(iii), the value of any benefit or amenity granted or provided free of cost or at concessional rate is taxable in the hands of specified class of employees. Specified non-monetary perquisites like motor cars, personal servants, gas, electricity, water, educational facility provided to specified class of employees is taxable as perquisites.

Specified class of employees means an employee who is director of the company, an employee who has substantial interest in the company or any other employee, whose income chargeable under the head 'salaries', exclusive of value of benefits or amenities not provided by way of monetary payment, exceeds **the prescribed limit**.

Accordingly, the Central Government, *vide this notification*, has inserted new Rule 3C to prescribe the salary limit of ₹ 4,00,000 for determining specified class of employees under section 17(2)(iii).

Medical expenditure incurred by an employer not taxable as perquisite:

Proviso to section 17(2) provides specific exceptions in respect of medical facilities, stating that certain medical benefits shall not be treated as taxable perquisites in the hands of employees.

Clause (iv) of Proviso to Section 17(2) provides that any expenditure incurred by the employer on

- medical treatment of the employee or any member of the family of such employee outside India;
- travel and stay abroad of the employee or any member of the family of such employee for medical treatment; and
- travel and stay abroad of one attendant who accompanies the patient in connection with such treatment

shall not be treated as taxable perquisite subject to the following conditions:

(i) Expenditure on medical treatment and stay abroad will be exempt only to the extent permitted by the RBI

(ii) Expenditure in respect of travel will be exempt if the employee's gross total income, as computed before including the said expenditure, does not exceed the prescribed amount.

Accordingly, the Central Government has, *vide this notification*, inserted new Rule 3D to prescribe the gross total income limit as ₹ 8,00,000 for this purpose.

Chapter 6 – Deductions from Gross Total Income

Introduction of Unified Pension Scheme in line with NPS [The Taxation Law (Amendment) Act, 2025]

The Unified Pension Scheme (UPS) has been introduced **as an option** under the National Pension System (NPS) by the Central Government for the Central Government employees covered under NPS so that they may receive an assured payout after their retirement.

It is a 'fund-based' payout system which relies on the regular and timely accumulation and investment of applicable contributions (from both the employee and the employer (the Central Government) for grant of monthly payout to the retiree.

To align the tax treatment of the UPS with the NPS, Taxation Law (Amendment) Act, 2025 has inserted sub-section (3A) and (6) in section 80CCD and clause (12AA) and (12AB) in section 10.

Section 80CCD(3A) provides that the amount standing to the credit of the assessee, being a subscriber to the UPS, in his account (for which deduction has already been claimed by him under this section) and accretions to such account, received by the assessee or his nominee, in whole or in part in any previous year on account of his superannuation or voluntary retirement or retirement under Rule 56(j) of the Fundamental Rules (not treated as penalty[1]) shall be deemed to be the income of the assessee or his nominee and taxed in the year in which such amount is received.

However, the assessee shall be deemed not to have received any amount in the previous year if such amount is transferred to the pool corpus from individual corpus on account of his superannuation, voluntary retirement or retirement. [Section 80CCD(6)].

Exemption on payment from NPS Trust to an assessee, being a subscriber to the UPS, at the time of his superannuation or voluntary retirement or retirement [Section 10(12AA)]

Any payments from the NPS Trust to an assessee, being a subscriber to the UPS, at the time of superannuation, voluntary retirement or retirement, to the extent it does not exceed 60% of the individual's corpus, shall be exempt from income tax.

Exemption on lumpsum amount received by an assessee, being a subscriber to the UPS [Section 10(12AB)]

Any sum received as a lump sum amount as per clause (vi) of paragraph 2 of the notification number FX-1/3/2024-PR, dated the 24th January, 2025, of the Department of Financial Services, by an assessee being a subscriber to the Unified Pension Scheme shall be exempt from tax.

As per clause (vi) of paragraph 2 of the notification number FX-1/3/2024-PR, dated the 24th January, 2025, of the Department of Financial Services, a lump sum payment will be allowed on superannuation at the rate of 10% of monthly emoluments (Basic Pay + Dearness Allowance) for every completed six months of qualifying service.

Chapter 8 - Provisions for filing Return of Income and Self Assessment

Relief to deductors/collectors from the applicability of higher TDS/TCS where the PAN becomes operative upon linkage with Aadhaar within the specified period [Circular No. 9/2025 dated 21.7.2025]

Section 139AA(2) makes it mandatory for every person who has been allotted a PAN as on 1st July, 2017 to intimate his Aadhaar Number on or before 31st March, 2022, failing which the PAN would become inoperative. However, once the person subsequently intimates his Aadhaar Number and pays the prescribed fee of ₹ 1,000 under section 234H read with Rule 114(5A), his PAN will become operative within 30 days from the date of such intimation.

A person, whose PAN has become inoperative, would be liable for following further consequences for the period commencing from the date as specified i.e., 1.7.2023 till the date it becomes operative –

(i) no refund of any amount of tax or part thereof, due under the provisions of the Act;

(ii) interest would not be payable on such refund for the period, beginning with the date specified i.e., 1.7.2023 and ending with the date on which it becomes operative;

[1] *under the Central Civil Services (Classification, Control and Appeal) Rules, 1965*

(iii) where tax is deductible at source in case of such person, such tax shall be deducted at higher rate, in accordance with provisions of section 206AA;

(iv) where tax is collectible at source in case of such person, such tax shall be collected at higher rate, in accordance with provisions of section 206CC.

The CBDT has, *vide this circular*, provide relief to deductors/collectors from the applicability of higher TDS/TCS rates under section 206AA/206CC, in the following cases:

- Where the amount is paid or credited from 01.04.2024 to 31.07.2025 and the PAN is made operative (as a result of linkage with Aadhaar) on or before 30.09.2025.
- Where the amount is paid or credited on or after 01.08.2025 and the PAN is made operative (as a result of linkage with Aadhaar) within two months from the end of the month in which the amount is paid or credited.